INDIAN LAW & DEALMAKING · 19 OCTOBER 2026

Five moves shaping the board now.

- NCLAT blocks shareholder challenges to resolution plans
- NCLAT mandates SCC consent for liquidator asset sales
- Delhi HC quashes ED travel curbs on RCFL executives
- ED expands probe into nationwide cyber fraud ring
- SEBI notifies new portfolio manager regulations framework

SWIPE →

IBC · NCLAT

Shareholders lack locus standi to contest resolution plans

On October 19, 2026, the NCLAT Principal Bench ruled in Prateek Jain v. Mr. Anurag Nirbhaya that individual equity shareholders are not aggrieved persons under Section 61 of the IBC. The tribunal rejected an appeal against an NCLT-approved resolution plan, holding that shareholders cannot reopen approved plans without proof of fraud.

THE READ

The ruling reinforces finality in corporate insolvency proceedings by cutting off derivative litigious risks from equity holders. Strategic acquirers gain predictability when finalizing resolution plans without fear of minority shareholder litigation.

IBC · ASSET LIQUIDATION

Liquidators barred from executing private sales without SCC

On October 19, 2026, NCLAT Delhi refused interim relief against a two-year suspension imposed by the IBBI on liquidator Subrata Monindranath Tiruvengadam. The tribunal held that liquidators cannot accept private sale proposals for corporate debtor assets without prior Stakeholders Consultation Committee advice and NCLT approval.

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Asset buyers and liquidators must strictly adhere to statutory consultation processes prior to disposing of liquidation estate assets. Bypassing mandatory committee consultation invalidates asset transfers and triggers immediate regulatory enforcement against insolvency professionals.

ENFORCEMENT · DELHI HIGH COURT

Court quashes ED travel circulars post finance resolution

On October 18, 2026, the Delhi High Court quashed Enforcement Directorate Lookout Circulars against Amit Dangi and Sanjay Dangi in the Reliance Home Finance probe. Justice Madhu Jain held that restricting executive travel post-resolution was unwarranted given full cooperation with investigators.

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The ruling checks the misuse of liberty-restricting process by enforcement authorities after underlying corporate debt resolutions are concluded. Promoters and investors in resolved debt entities can assert fundamental rights to clear personal travel restrictions.

PMLA · ENFORCEMENT

ED arrests sixth operative in multi-state cyber fraud

On October 18, 2026, the Enforcement Directorate executed its sixth arrest in an ongoing money laundering probe into a nationwide cyber fraud network. The agency uncovered illegal money routing through 400 bank accounts linked to dummy director entities across India.

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The action signals aggressive money laundering scrutiny targeting corporate shell entities used as financial conduits. Financial institutions and platform operators face increased compliance risks if client onboarding fails to detect synthetic corporate profiles.

SECURITIES · SEBI

SEBI notifies reformed portfolio managers regime for 2026

SEBI notified the SEBI (Portfolio Managers) Regulations, 2026, creating the PRIM framework with a lowered Rs 25 lakh investment entry threshold. The framework mandates a Rs 5 crore net worth requirement with a mandatory 10% unencumbered liquid asset buffer.

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The framework opens mass-affluent capital flows to portfolio managers while enforcing stricter capital adequacy rules. Asset managers must adjust liquidity buffers and investment strategies ahead of full operational implementation.

THE THROUGH-LINE

The common thread across these developments is the strict enforcement of procedural boundaries and capital discipline across Indian commercial law. Judicial bodies are restricting improper collateral challenges to insolvency resolutions while enforcing accountability on liquidators and enforcement agencies. Regulators are simultaneously modernizing investment architecture while embedding mandatory liquidity safeguards to preserve institutional stability.

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